

NxLite — Seed Term Sheet

2022

This non-binding term sheet summarizes the principal terms of a proposed Series A Preferred Stock financing of NxLite (the 'Company').

1. Offering Terms

Term	Value
Security	Series A Preferred Stock
Amount raised	\$3.0M
Pre-money valuation	\$11M
Post-money valuation	\$14M
Price per share	\$2.19
Option pool	10% post-financing, fully diluted

2. Liquidation Preference

1x non-participating preference, with the right to convert to Common.

3. Anti-dilution & Conversion

Broad-based weighted-average anti-dilution. Automatic conversion on a qualified IPO above an agreed threshold.

4. Board & Protective Provisions

The Board shall consist of the CEO, one founder, and one VoLo designee. Customary protective provisions apply to Preferred.

5. Investor Rights

- Pro-rata participation rights in future financings.
- Information rights: monthly and quarterly reporting.
- Founder vesting: 4 years with a 1-year cliff.

6. Conditions & Confidentiality

Closing is subject to satisfactory legal, technical and financial diligence. The parties agree to keep these terms confidential.